Practice workbook · Why countries protect trade: dumping, infant industries, jobs, safety

Why countries restrict imports: to stop dumping, protect jobs and infant industries, raise tariff revenue, keep out unsafe products, reduce a current account deficit, or retaliate. Includes the meaning of dumping and infant industries and why firms dump.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-05

# 1. Question 2 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

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**2** In 2018, the Indonesian rupiah depreciated to its lowest levels since 1997 against other major currencies.

(a) This depreciation is likely to have caused

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(b) Which of the following is used as a measure of economic growth?

(1)

- ☒ **A** ILO
- ☒ **B** CPI
- ☒ **C** GDP
- ☒ **D** FDI

(c) State **one** reason why a government wants to reduce poverty and inequality.

(1)

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(d) What is meant by the term infrastructure?

(2)

# 1. Question 2 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

In 2018 the average number of job seekers in Germany decreased by 0.5% to 5.2% and was lower than at any time since 1991.

(e) Explain **one** impact of falling unemployment rates on tax revenue for a country such as Germany.

**(3)**

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In December 2018, consumers in the UK were warned to avoid some imported plastic toys because they contained banned chemicals. Many were being sold through online marketplaces.

(f) Explain **one** reason why UK consumers need protecting from some imported goods.

**(3)**

# 1. Question 2 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

In May 2018, South Korea's unemployment rate for people aged 15–29 increased to 11.6%. In several global competitiveness reports South Korea has recently been criticised for having too many rules and regulations. Experts have advised the South Korean Government to reduce some employment regulations for service sectors such as finance, transport and tourism in order to create more jobs.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of deregulation in reducing unemployment in South Korea.

**(9)**

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## 1. Question 2 · part f · 3 marks · Working and answer

Working and answer

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## 2. Question 3 · part b · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b only.

**3** (a) What is the name given to a country's exports and imports of physical goods?

(1)

- ☒ **A** Trade in goods
- ☒ **B** Income flows
- ☒ **C** Trade in services
- ☒ **D** Transfer payments

(b) What term refers to a firm or country selling an export below the cost of production?

(1)

- ☒ **A** Quotas
- ☒ **B** Dumping
- ☒ **C** Deregulation
- ☒ **D** Tariffs

(c) Explain **one** method of government intervention that could be used to protect the environment.

(3)

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## 2. Question 3 · part b · 1 mark · Working and answer

Working and answer

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## 3. Question 1 · part g · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

**1** (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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## 3. Question 1 · part g · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) What is meant by the term shoe leather costs?

**(2)**

(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

**(2)**

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## 3. Question 1 · part g · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

Figure 1 shows the supply and demand of the pound (£) in terms of the euro (€).

(f) Using the diagram below, draw the effects on the exchange rate of the pound (£) of a decrease in UK exports to Eurozone countries. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

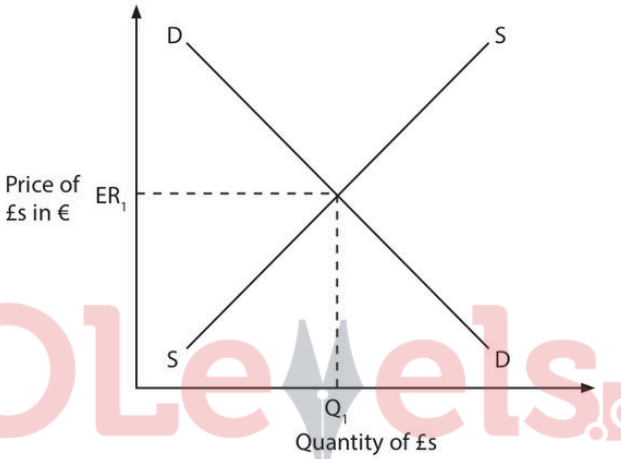



**Figure 1**

In November 2018, China launched its first ever anti-dumping investigation against Australia over the export of Australian barley.

(g) Explain **one** reason why a country such as Australia might export its products below the cost of production.

(3)

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## 3. Question 1 · part g · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

Vietnam has progressive income tax rates that range from 5% to 35% depending on income.

(h) Analyse how a reduction in direct taxation is likely to affect the standard of living in a country such as Vietnam.

(6)

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Turn over

## 3. Question 1 · part g · 3 marks · Working and answer

Working and answer

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# 4. Question 1 · part d · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

**1** (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

**(1)**

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voltuntary

(b) Which **one** of the following terms refers to a tax on imported goods?

**(1)**

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

**(2)**

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## 4. Question 1 · part d · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

(d) What is meant by the term dumping?

**(2)**

Figure 1 shows the government revenue and expenditure in rupees crore for India in 2019–2020.

| | **Indian rupees crore (Rs)** |
|---|---|
| Total revenue | 2 080 201 |
| Total expenditure | 2 784 200 |

**Figure 1**

(e) Calculate the **fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working.

**(2)**

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## 4. Question 1 · part d · 2 marks · Working and answer

Working and answer

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# 5. Question 1 · part d · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

**1** (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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## 5. Question 1 · part d · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

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(d) What is meant by the term infant industries?

**(2)**

In August 2019 Inter Milan, an Italian football club, paid £73m to Manchester United for the transfer of footballer Romelu Lukaku. The exchange rate was £1 = €1.08.

(e) Calculate **the price Inter Milan paid in euros (€)** for the transfer of Romelu Lukaku. You are advised to show your working.

**(2)**

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## 5. Question 1 · part d · 2 marks · Working and answer

Working and answer

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# 6. Question 2 · part b · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part b only.

**2** (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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## 6. Question 2 · part b · 1 mark · Working and answer

Working and answer

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